

danger. The losers were individual investors who had no inkling of the true health of US-64 and stayed invested.

It was obvious that the unusually heavy redemption pressure in May and June had to do with inside information that UTI would announce a halt in repurchase of US-64 units at its 2 July board meeting. In what was a clear breach of confidentiality, SBI, which had a nominee on the board of trustees of UTI, redeemed Rs 355 crore in May. UTI had borrowed heavily from many banks in June to meet redemption requests. Each of these banks was an investor in US-64, and, knowing the scheme's perilous financial health now, joined the queue for redemption.

At its board meeting on 2 July, UTI announced that it was freezing redemptions in US-64, stunning the market and shattering the faith of millions of individual investors. The scheme was restructured, and a repayment schedule was worked out, but almost every US-64 investor had to take a knock on his original investment. Worst of all, the crash also claimed a few lives. There were newspaper reports of at least half a dozen investors committing suicide after incurring massive losses in speculative trades. Some of them owed huge sums to brokers and financiers, and feared a far worse fate if they failed to pay up.

The quarterly earnings season brought more bad news for the IT services sector. Satyam's numbers were good, but the management said it was 'cautiously optimistic' about the year ahead. Anybody reading between the lines could make out that the booster growth rates seen till a quarter ago were unlikely to be repeated for a while. The slowdown in the US following the Nasdaq crash was now beginning to pinch Indian software firms.

The following day, Infosys too made a similar statement; its revenue guidance for the year provided for a growth of 30 per cent, which, given the company's track record, was a modest target. Some of the second-line IT companies like Mastek announced very sorry earnings figures. And, quite suddenly, the market appeared to have got over its obsession for technology stocks.

Looking back, I wish I had been a bit more cautious in investing my profits from the dotcom craze or bubble, whichever way you look at it. I survived the meltdown in ICE stocks, which is not to say that I did not make any losses. The market snatched away roughly 40 per cent of my peak paper wealth, but I still had a substantial amount left. I invested in a dozen-odd start-up firms that seemed to show a lot of promise. Or maybe I should